

In a similar context, Mohanty of Mirae says that the new demographic and the new digital change is challenging everyone and that makes the segment open for newer players. The MF business is scalable and the market is ready for new players, he says. Scalability is an important play in the MF space as scale allows a fund house to lower costs. That could be an important differentiator in a segment where technology is not looked upon as a real disruptor. Then, there is also the element of active or passive funds, and some of the new fund houses appear to be tilting towards passive as part of their larger game plan to offer low-cost innovative products. “Whether it is active or passive investing, or global investing or thematic investing, all kinds of products are at play in India. With goal-based financial planning gaining popularity, investors will look for a product that they want rather than choose

is inversely proportional to AUM or size. Large passive players will always have an edge [in passive funds].”

NOW, LET US look at some numbers to understand the offerings from a few new fund houses that have launched their offerings, to see if there are any visible benefits in terms of costs at least. That is because it is not yet time to evaluate or compare them based on performance, since most have been launched recently.

Navi Mutual Fund states on its website that its “low-cost funds coupled with a passive investing approach and strong leadership” makes it “one of the most popular and sought-after AMCs in the country”. Let’s examine that statement.

Within the broad category of equity funds, flexi-cap funds, which offer fund houses complete flexibility in their investment approach, are one of the most popular categories of schemes with an AUM of nearly ₹2.53 lakh crore, as on November 30, 2022. According to data from Value Research, Navi Flexi Cap Fund, which has an AUM of ₹221 crore, has an expense ratio—a percentage of the fund’s daily net assets value used to manage its operating expenses—of 0.43 per cent, but there are other flexi-cap funds with a lower cost component. For instance, ICICI

Prudential Flexi Cap, with an AUM of ₹11,911 crore, has an expense ratio of 0.41 per cent. PGIM India Flexi Cap has an expense ratio of 0.31 per cent on an AUM of ₹5,291 crore. However, most of the largest flexi-cap funds in terms of AUM do have a higher expense ratio than that of Navi MF. Incidentally, Samco Flexi Cap Fund has an expense ratio of 0.87 per cent and an AUM of ₹682 crore.

Meanwhile, liquid funds—that invest in fixed income securities like treasury bills, government securities and commercial paper with a maturity of up to 91 days—are the most popular within the debt category with a cumulative AUM of nearly ₹4.10 lakh crore, as per AMFI data. Navi MF’s Liquid Fund has an expense ratio of 0.15 per cent, although similar schemes of fund houses including UTI MF, PGIM India and HSBC MF, among others, have a lower cost component. Even some of the biggest liquid funds like SBI Liquid (AUM of ₹58,372 crore), HDFC Liquid (₹56,900 crore), ICICI Prudential Liquid (₹42,960 crore), Aditya Birla Sun Life Liquid (₹38,922 crore) and Kotak Liquid (₹30,840 crore) have expense ratios in the range of 0.18 per cent to 0.21 per cent, as per data from Value Research.

“Products are key in the MF space. Gone are the days when brand power alone attracted investors. The scope has moved from a ‘good brand’ to a ‘good product’, though large players still dominate the segment”

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50 |

from plain-vanilla ones available,” says Mohanty.

Incidentally, Zerodha Founder Nithin Kamath has been earlier quoted as saying that his fund house will focus only on low-cost passive funds. Zerodha, PhonePe and Angel One declined to comment for this story.

In the current calendar year till October, as many as 131 new fund offers of passive schemes were launched—the first time that passive outnumbered active, which had 117 scheme offers in the same period. Further, the AUM of passive schemes in the same period rose to ₹6.12 lakh crore from ₹4.48 lakh crore in 2021, even as that for active remained largely unchanged at ₹33.41 lakh crore this year till October, as per data from Morningstar. “Our long-term estimate of the industry trend is that there will be two clear-cut segments. One would be the pure active and the second would be passive, and industry players will have to make a choice,” says Modi of SAMCO. “There is a bunch of new players that wants to do passive but as far as product innovation is concerned, one needs to keep in mind that passive products can be copied overnight. Passive is all about scale and distribution. [The] only selection factor is cost. Cost